Country Compliance Report:

Hungary

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency, and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency, and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity, and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

1. Terminology

This section outlines general and country-specific terminology for Hungary, which will be used throughout the whole document.

Term	Explanation
Àfa	Local name of VAT.
B2B	Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer
B2C	Business-to-Consumer normally refers to the process of businesses selling products and services directly to consumers, with no middleman i.e. supplier to consumer.
Invoicing software	This is the software that under the Hungarian regulations is generating the invoice data that fulfils the Hungarian VAT requirements, typically, ERP.
NAV	National Tax and Customs Administration of Hungary (*hu. Nemzeti Adó- és Vámhivatal*)
Online Számla	NAV's system for live processing of RTIR and optionally for e-invoice processing and distribution
Post Audit	The post-audit regime allows trading partners to exchange e-documents as well as other transactional documents directly with each other, without any real-time or immediate controls performed by the tax authority. There are limited provisions as to what format, infrastructure, or how e-documents should be created, issued, or distributed. The main requirements on the taxpayers are to ensure document content, integrity, and authenticity, as well as appropriate archiving.
Real-time reporting (RTIR)	A CTC model where the supplier must report a subset of the e-document in a predefined format to the tax agency, in a predefined way shortly, after issuance and distribution to the buyer. There is no concept as clearance or validation. Rejections from the tax office may happen, but they are due to technical reasons.
Számla	Invoice in Hungarian

2. General overview

This section provides an initial introduction into the local eInvoicing environment within Hungary, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• National Tax and Customs Administration (NAV) • Ministry for National Economy
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Hungarian VAT Act • Basic Rules of Issuing Invoices and Receipts (2014) • Public Procurement Act, section 27/A • Decree No. 23/2014 (VI. 30) on the tax administration identification of invoices and receipts and the verification of electronically stored invoices by the tax authority • ITM Decree on the rules of digital archiving 1/2018 (VI. 29) • Electronic Signatures Act (2001)

3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed and optional • Although the Hungarian VAT Act permits electronic invoicing in line with EU Directive 2010/45/EU, local rules and practice of the Hungarian tax authority are very strict and formalistic
Varying invoicing regimes[1]	• Yes
e-Invoicing model	• **E-invoicing**: Post Audit • **E-invoicing:** centralized via Online Számla (optional) • NB: **RTIR** is not related to e-invoicing, as this is a reporting obligation post invoice issuance.
e-Invoice definition[2]	• An invoice containing the data required by the Hungarian VAT Act, which has been issued and received in electronic form (Art. 259 of VAT Act)
Scope of taxpayers the e-document mandate applies to	• **E-invoicing** is optional • **RTIR** is mandatory. Not applicable for those e-invoices issued via Online Számla
Mandatory AoR (document response) process	• N/A
Implementation / roll-out plan	**RTIR** has been introduced is several phases: • **1 July 2018** for domestic B2B sales exceeding HUF 100.000 (ca EUR 320) • **1 July 2020** the scope was extended to all Hungarian VAT registered entities (incl. non-established businesses) supplying to another entity

[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

	VAT registered in Hungary, and (2) the HUF 100.000 threshold was removed • **1 January 2021** the scope extended (1) to all Hungarian VAT registered entities (incl. non-established) supplying to Hungarian consumers (B2C) ◦ However, taxpayers are exempt from invoicing obligations if the consumer pays the full total gross amount at the chargeable event[3]. In that case, the taxable person shall issue a receipt from a cash register, which is out of the scope of RTIR[4]. (2) for invoices on intra-community and export transactions
Other	• For the purpose of keeping a clear distinction between e-invoicing and RTIR, this document primarily covers the e-invoicing requirement, while RTIR requirements are outlined at the end of this CCR, in section 10

[3] VAT ACT Section165 (1)-b)
[4] Online Szamla

4. Before switching to e-invoices

4.1. IT[5] registration

The following thresholds apply to the requirement to be registered for an IT number in Hungary:

- Exemption for small businesses – HUF 12.000.000 (ca EUR 33.000)
- Application of the special scheme for acquisitions by taxable persons not entitled to deduct input tax and by non-taxable legal persons – EUR 10.000[6]
- A derogation has approved a VAT registration threshold equivalent to EUR 71.500 per year. This derogation is valid until 31 December 2024. After that, new EU VAT registration threshold rules might apply.

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

Hungarian VAT number format: HU12345678 (prefix HU followed by 8 digits)

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required to enable electronic processing instead of conventional processing	• A notification of the invoicing software used must be filed by a taxable person and submitted to NAV. The submission requires a specific form, see further section 10.1.
Actions between the trading partners, e.g., customer acceptance, agreement, etc.	• Buyer acceptance must be obtained, but this process is not strictly regulated e.g., tacit acceptance is allowed.

[5] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

[6] The national currency in Hungary is HUF, however, the VAT law specifically provides for an amount in EUR for this threshold.

	• In case of centralized e-invoice exchange via Online Számla, the recipient must have the API connection in place to be able to receive AP invoices. • A written and prior agreement is required in the case of direct EDI
Transition period from the moment of starting e-invoicing during which, e.g., parallel invoicing may be allowed	• Parallel invoicing is not allowed

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed
Whether statement of outsourced issuance is required on the invoice	• No explicit requirement
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• Required • If concluded electronically under Hungarian law, the agreement must be signed with a QES
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	An agreement for outsourced invoicing (i.e., a third party generating the invoice according to the Hungarian VAT requirements) must be in writing and should include/clarify at least the following: • The ranges of serial numbers to apply when issuing invoices (the range shall be recorded in the register of the taxpayer liable for issuing), • Explaining the relationship and responsibilities between the parties involved in e-Invoice issuance, that the outsourced party shall ensure compliance with the Hungarian legislation as to invoicing
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• Not required anymore since January 2021

Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	The invoicing program controlled and maintained by a third party shall ensure the following: • in case of paper-based invoice and electronic invoice: the proxy immediately sends a copy of the invoice to the principal with the obligation of issuing the invoice, • in case of invoice produced with an invoicing software: the principal with the obligation of issuing the invoice and its proxy agree in advance and in writing on the numbering range that is to be applied when producing the invoice; this shall be recorded in the registry of the principal with the obligation of issuing the invoice as well, • those persons and organizations who act as proxies for issuing invoices for multiple principals with the obligation of invoicing at the same time, shall keep a separate registry on this obligation for each principal. • continuous numbering without omission or repetition, • for issuing invoices under a non-Hungarian tax number, a separate numbering range different from the one for Hungarian tax number, • Invoice data export functionality (making available to the tax authority upon request certain invoice data in a prescribed Hungarian XML format), see further section 10.2.1 • NAV recommendations for invoicing program developers.

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Hungary has no explicit requirements on the outsourcing of the function of receiving invoices (like the function to issue invoices as outlined above).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• NAV XML version 3.0 for e-invoicing via Online Számla. • N.a. for the rest.
Other document format(s) commonly used for exchange between trading parties	• NAV XML, current version 3.0 • PDF, which in practice is e-Signed. • EDIFACT
Mandated platform(s) required to have connection with for e-document processing	• Online Számla for centralized e-invoicing • N.a. for rest.
Other platform(s) relevant for e-document processing	• N.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	• XML version 3.0
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• N.a.
Other technical aspects	• N.a.

5.2. Communication with Online Számla

Regulations in Hungary foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	• API for e-invoicing via Online Számla.
Manual	• Manual Online Számla.
Other options	• No explicit requirements.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country:

1. Documents are exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to legal requirements and other business-related preferences.
2. The key requirements are to ensure the country-specific document content, document integrity and authenticity, as well as archiving requirements.
3. Neither document format nor exchange mechanism are regulated. It is optional to use Online Számla to exchange e-invoices as long as both trading parties agree.

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices.

Use of e-invoicing for cross-border documents is not explicitly regulated in Hungary. However, these invoicing fall in scope for e-reporting. Therefore, at the time of cross-border invoice issuance, the invoicing software must also report data to Online Számla.

5.4. Reception and validation process

This section describes the document reception, validation, and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country.

1. Documents are exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to legal requirements and other business-related preferences.
2. The key requirements are to ensure the country-specific document content, document integrity and authenticity, as well as archiving requirements.

3. Neither document format nor exchange mechanism are regulated.

No explicit requirement on the buyer to provide to the supplier a confirmation, notification, or acknowledgement that a domestic e-invoice has been received.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices.

Use of e-invoicing for cross-border documents is not explicitly regulated in Hungary.

5.5. AoR (response) process

There are no explicit requirements.

5.6. HUB validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly or after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

E-invoicing is not mandatory in Hungary, however, there are some validations carried by Online Szmala to those e-invoices exchanged via the Hub. More about validations in section 10.3.1

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

It is required to mention copy or duplicate “kópia” or “másolat” in case a copy is issued.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds “Copy Tax Invoice” on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

In Hungary there are no explicit requirements around how the distribution of e-documents between trading parties must occur. Trading parties are free to decide on the method of e-document transmission and distribution between themselves.

Item	Commentary
Push communication	• No explicit requirements.
Pull communication	• No explicit requirements.
E-mail distribution	• Allowed. • According to the practice established by the tax authority, PDF invoices (which typically are distributed by e-mail) must be ensured with eSignature.
Webportal[7]	• No explicit requirements.

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

Important information: Online Szamla no longer accepts the value "MODIFY" in the mandatory field ' lineOperation' for reporting purposes from 15 May 2023[8]. This implies that the 'lineOperation' cannot be used in the data reporting for modifying or cancelling invoices.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Corrective document.
What are the options to correct an invoice if the customer returns the goods	• Invoice cancellation. • Corrective document (in practice a credit note).
What are the options to correct an invoice if the customer paid too much	• If the customer accidentally paid too much, there is no need to modify the invoice, only the overpayment should be repaid.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Corrective document (in practice a credit note).
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Corrective document.
Other scenarios with different correction option	• No.

[7] Note, however, that prior to using and external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.
[8] Specification update section 2023/1

Party entitled to issue a credit note if the invoice was issued by the supplier (i.e., no self-billing)	• Supplier.
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible based on this document	• No.

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• It is prohibited to issue both paper and electronic invoices for the same transaction.
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Allowed under conditions.

Whether any conditions apply, and which, to the dematerialisation	• One of the below methods must be used to perform correct dematerialization of paper invoices for archiving purposes:
	  ◦ AdES and ensuring the general requirements of archiving.
	  ◦ AdES and the involvement of a qualified trust service provider.
	  ◦ use of an EDI system (for invoices that were sent using EDI).
	  ◦ use of a closed system for archiving.
	  ◦ (For invoice data subject to RTIR) keeping a hash generated during reporting together with such invoice data.
	• The rules of archiving have changed recently and due to a gap in the legislation, it is currently unclear which of the above methods may be used by the issuer to keep electronic copies of paper invoices instead of applying the stricter rules of digitization.
	• Given the lack of clear regulations and guidance from NAV, it is recommended not to discard the invoice in its original form

Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e.	• Not allowed.

destruction of the original electronic document, for processing and/or archiving	
Whether any conditions apply, and which, to the materialisation	• An invoice must be archived in its original form. • A print-out of an electronic invoice is not a valid document from tax perspective.

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

As e-invoicing is not regulated in Hungary, this section is not applicable.

6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice (*hu. Teljes Számla)* • Simplified Invoice (*hu. Egyszerűsített számla* • Corrective Invoice (*hu. Jóváírás)* • Cancellation Invoice *(hu. érvénytelenítő számláknál)*
Documents mandatory for issuance by buyer	• No mandatory documents.

Item	Commentary
Self-billing allowed	• Yes • The parties should conclude a written agreement in advance on the self-billing process that details the terms and conditions of the invoice issuance. • If the buyer issues the invoice; the wording for self-billing "*önszámlázás*" must be indicated on the invoice. • The parties' liability is joint and several with respect to the compliance with the provisions relating to the invoice issuance.
Simplified invoice allowed	• Yes. • When the customer is a taxable person or a non-taxable legal person, who makes advance payment (except for EU supplies of goods). • When the customer is a non-taxable person (other than in the above point), who makes advance payment and the payment exceeds HUF 900.000, or not exceeds this threshold but the customer asks to issue an invoice (except for EU supplies of goods). • When the transaction is performed in an EU or third country supply of goods or services. • When the total gross amount of the invoice does not exceed the equivalent of EUR 100, provided that the underlying transaction is other than EU supply of goods or out-of-scope transaction.

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary

A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
	• There are no such strict requirements for the format of the document number, it can include numbers, letters, or other characters like / and –
	• The number does not need to include the year or start a new range for every year, but this is allowed.
	• Since the numbering must be sequential, it would be appropriate to start with 1 instead of a random number (e.g. xxx15).
	
	• Invoice software shall be designed to generate sequential serial numbers, without breaks or repetition.
	• The sequence of sequential numbers shall not be considered broken if:
	    • In the connection with the issuance if accounting documents, other than invoices, by taxable persons participating in a group taxation arrangement relating to their intra-group transactions, and
	    • In connection with the issuance of invoices to third parties by taxable persons participating in a group taxation arrangement, provided they are issued within the same ranges of sequential serial numbers.
	
	• Furthermore, the sequence of serial numbers shall not be considered broken if the invoice and the accounting document (the accounting document cannot be considered an invoice) are issued within the same spectrum of serial numbers

Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes, especially if more than one invoicing software is used or other sites / establishments within the same company are using the same VAT number.

	• Usage of different prefix, like AB/2020/0001 and AC/2020/0001, could be appropriate, however, is not required.
Allowed to start a new sequential numbering every year	• Yes.
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• No, numbering required per registration.
Required that the numbers follow the date of issuance (i.e., is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes.

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g., provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

6.3. Indirect tax (IT)[9] rates

This section illustrates the applied IT[10] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
27%	**Standard**	All other taxable goods and services
18%	**Reduced**	Certain foodstuffs, some take away food, admission to certain open-air concerts
5%	**Reduced**	Certain foodstuffs, pharmaceutical products (intended for human use), some medical equipment for disabled persons (excluding repair), books (excluding e-books), newspapers and periodicals, some social housing, district heating, some supplies of new buildings, restaurant and catering services (food prepared on site and non-alcoholic beverages), internet access services, certain writers and composers services, accommodation services from hotels, B&B and house sharing
0%	**Exempt**	Intra-community and international transport. Financial services, insurance, public postal services, approved education, lease of property, sale of securities, sale or lease of land, human medical care, folk arts, and crafts

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Hungary. Please note

[9] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

[10] Local name *"Áfa"*

that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• No. • In practice companies apply names to differentiate certain types of tax documents, (e.g., Invoice *hu. Számla*).
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• No. • The invoice can be in any spoken language; tax authorities may require official Hungarian translation at the taxable person's expense.
Sequential numbering	• Yes, see section 6.2.1 above
Required to mention copy or duplicate in case a copy is issued	• Yes.
Reference in case of outsourced issuance	• No. • Mandatory in the case of self-billing.

Supplier data	
Full legal name of the supplier	• Yes.
Allowed to abbreviate or shorten the legal name of the supplier	• Yes, provided the name is listed in the trade register.
Full address of the supplier in country of establishment	• Yes.
Allowed to mention the PO box address instead of the legal address of the supplier	• No.
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, taxpayerID of 8 characters. • The "VAT code" and "County code" are optional to add.
IT identification number of the supplier in the country of establishment	• No.
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Companies established in countries outside the EU are obliged to appoint a fiscal representative for VAT purposes in Hungary. • UK companies that are affected by Brexit must appoint a fiscal representative from 1 January 2021 on.
Legal form of the supplier	• Yes.
Trade register number of the supplier	• No.

Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No.
Place of legal seat of the supplier (Headquarters)	• Yes.
Other supplier data	• Group VAT number, if applicable. • EU VAT ID of supplier (and/or service provider) in EU cross-border transactions.

Customer data	
Full legal name of the customer	• Yes.
Allowed to abbreviate or shorten the legal name of the customer	• Yes, if listed in the trade register.
Address of the customer in country of establishment	• Yes.
Bill-to address when it is different from the registered address of the customer	• No.
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• No.
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes, taxpayerID of 8 characters. • The "VAT code" and "County code" are optional to add.
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• Yes, if available.
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• Yes.
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• Yes.
Other customer data	• No.

Transaction data	
Date of issue	• Yes.
Date of supply (chargeable event)	• Only if it differs from the invoice date.
Date of prepayment	• Only if it differs from the invoice date.
Description of the goods/services	• Yes.

Quantity of the goods supplied or the extent of the services supplied	• Yes.
Purchase order number	• No.
Shipped from location (for the supply of goods)	• No, but recommended. • Especially in case of cross-border transactions.
Shipped to location (for the supply of goods)	• No, but recommended. • Especially in case of cross-border transactions.
Status of the goods (e.g. in bond, in free circulation)	• No.
Incoterms	• No.
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No.

Financial data	
Taxable base per item (unit price excl. IT)	• Yes.
Total taxable base per IT rate or exemption	• Yes.
IT rate applied	• Yes.
Total IT amount calculated per rate	• Yes.
Total IT amount payable	• Yes.
Discounts/rebates if not included in the unit price	• Yes.
Total gross amount (including IT)	• No, but recommended.
Mandatory to mention the total IT amount due in the national currency	• Yes. • If an invoice is issued in any currency other than Hungarian forints (HUF), the taxable value must be converted into HUF using the FX rate on the date of supply.
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• None.
Exchange rate (if the invoice is not issued in the local currency)	• Yes.
Which exchange rate must be applied in order of priority	• The taxpayer may use the official exchange rate quoted by: 1. A commercial bank listed in the domestic territory as a credit institution (e.g., Commerzbank); 2. The official rate of the Hungarian National Bank;

	3. The rate of the European Central Bank.
Terms of payment	• No, but recommended.
IBAN and BIC number of supplier	• No.

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• Yes. • Any kind of exemption having impact on the VAT calculation or payment is required to be identified on invoices. In addition, a reference to the relevant provision of law or any other unambiguous reference is required
List the required references in case of exemption or reverse charge	• "*fordított adózás*" ("reverse charge procedure") where the customer is liable for payment of VAT;
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	• Yes.
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• Yes. • in connection with the activities of tour operators governed under the special provisions of Chapter XV of the VAT Act, the words "*különbözet szerinti szabályozás - utazási irodák*" ("margin scheme - travel agents") • where one of the special arrangements applicable to second-hand goods, works of art, collectors' items and antiques is applied under the special provisions of Chapter XVI of the VAT Act, the words "*különbözet szerinti szabályozás - használt cikkek*" ("margin scheme - second-hand goods"); "*különbözet szerinti szabályozás - műalkotások*" ("margin scheme - works of art") or "*különbözet szerinti szabályozás - gyűjteménydarabok és régiségek*"

	("margin scheme - collector's items and antiques") respectively
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• No, but recommended
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• In case of prepayments, the wording "Advance payment" or "*Előleg*" should be included on the invoice. • The invoice must refer to the sale of new means of transport to another Member State, the date of first entry into service, the number of kilometers run (road means of transport), the number of hours shipped (ships), number of hours flied (aircraft). The customs tariff code of goods and/or statistical code of services where the Hungarian VAT Act explicitly makes such a reference. (This happens very rarely in the VAT Act, e.g. in the case of VAT deduction restrictions, or setting the scope of reduced rates)
Specific references required in case invoicing is outsourced	• Only for self-billed invoices
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• Yes • "*pénzforgalmi elszámolás*" ("cash accounting") when using the special taxation scheme defined under Chapter XIII/A;
Other specific requirements/references to be mentioned on an invoice	• No. Additional information should be indicated on the invoice under special sectoral rules which should be analyzed on a case by case basis

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Yes
Maximum amount for simplified invoices	• EUR 100

Other supplies for which a simplified invoice can be issued	• If the invoice is settled in cash at the time of purchase
Simplified invoices limited to certain type of supplies	• Yes
Simplified invoices not allowed for certain transactions	• Yes
Minimum content requirements on a simplified invoice	• Requirements are the same as complete invoices except for the following: o Instead of net and VAT amount, the total sum payable for the supply inclusive of VAT should be indicated o Instead of the VAT rate applied, the VAT rate included should be indicated
Invoices subject to the national invoice requirements (not self-bills)	• N/A
(other) Invoices subject to the national invoice requirements (not self-bills)	• N/A

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Hungary, documents in lieu of an invoice must be issued as rectification documents. The document should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• No, but recommended
Reference to original invoice required on a credit note	• Invoice number
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• Yes
Reason for credit required	• Yes

Sequential numbering	
Separate sequential credit note numbering required	• No
Allowed to issue one credit note to correct different invoices	• Yes • Reference to the respective invoices (invoice number)

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

There are no specific requirements in Hungary in this regard.

7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuring I&A are provisioned for	• Any method EDI[11] , Business Controls[12], and eSignature may be used • PDF invoices, based on the practice established by NAV, should be eSigned	• Any means Business Controls, EDI or e-signature validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• Same requirements apply • An outsourcing agreement is also required with the invoicing software	

[11] The definition of EDI follows the article 2 of Commission Recommendation 1994/820/EC. However, the sample agreement for the use of EDI (Annex 1 of the 23/2014 Ministry of National Economy Decree) refers to the UN/EDIFACT standard. According to the VAT Act, presumption of I&A applies as well when invoice was exchanged via EDI (in addition to eSignature).

[12] The business controls referred to in the VAT Act indicate a very wide concept. The business controls refer to any procedure, which is applied by the taxable person in order to verify the invoice against his own financial claims and obligations. It is an important aspect of business controls that the invoice is controlled within the business and accounting process (and is not managed as an independent separate document). The taxable person selects and elaborates his own business controls and, in the procedure verifies primarily, as the person issuing and accepting an invoice in his own interest:

- whether the invoice is substantially acceptable, i.e. the transaction indicated in it was fulfilled in the quantity and quality stated in the invoice,
- and, as the person accepting the invoice,
    - he checks whether the claim of the issuer of the invoice is the same as stated in the invoice,
    - if the bank account number stated by the issuer of the invoice is accurate and other items of the invoice in order to make sure that only those invoices will be paid that are his obligations to pay.

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• QES • Electronic Signatures Act
Automated e-signing	• N/A
Time-stamping of e-signature	• N/A

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• Mandatory
Time-stamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Tax data, such as the VAT invoice with eSignature incl. certificate or other I&A evidence as appropriate • VAT invoice subset submitted to NAV as part of the RTIR obligation • Responses, primarily positive, from NAV as part of the RTIR obligation
Requirements to present stored documents in a specific audit format	• Must be able to present the invoice, upon request, in a specific regulated format: if the invoice was issued in XML format- then only a prescribed Hungarian XML format is acceptable; if the invoice was issued in any other format than XML- then PDF format or a prescribed
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property[13]	• 5 years for tax purposes • 8 years for accounting purposes
Start point of retention period calculation for invoices not related to immovable property	• Starting from the issuance/receiving of the invoice

[13] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Retention period for e- invoices related to immovable property	• 5 years • 8 years for accounting purposes
Start point of retention period calculation for invoices related to immovable property	• Starting from the issuance/receiving of the invoice
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• No explicit deviating requirements
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• N/A
Outsourced archiving	• Allowed
Archiving abroad[14] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty	• Archiving abroad is allowed in countries with mutual assistance agreements, subject to prior notification and online access • The taxpayer should, in general, notify NAV if the storage is located in a place other than the location of the company
Other requirements in relation to electronic document retention	eArchiving can be performed by one of the following methods: 1) eArchiving service provider (legal presumption that the eArchiving solution is compliant), 2) following a defined invoice preservation process, i.e. by applying an eSignature and a timestamp issued by a qualified service provider (the tax authority must be notified about the place of preservation), 3) authorized service provider (other than an e-archiving service provider, specific written agreement is needed), or 4) accredited closed archiving system *Pagero uses option (2).* • Preservation occurs in real-time. The hash values of invoices are signed using a qualified certificate and time-stamped using an accredited timestamping authority.

[14] In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• N/A
Rectification document	• Yes, see section 6.6 above
Payment instruction	• N/A
SAF-T (or alike) reporting	• Yes, Data Export function, see section 10.2.1 and section 10.6 for SAF-T
Transportation documents	• N/A
Other	• Yes, Real-time reporting, see section 10.3

10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Penalties

Penalties for late or missed submissions will be up to HUF 500,000 (approximately EUR 1,300) per invoice.

10.2. VAT Returns

The default period for VAT returns is quarterly, however, since 2015 all newly established businesses are required to submit monthly returns.

Starting from 2024, a new platform called eVAT will be introduced in Hungary. This new platform will enable taxpayers to:

- Submit their VAT returns using machine-to-machine communication, so that the return can be used for the purpose of VAT analytics by both taxpayers and NAV
- Simplify the preparation and review of VAT returns for businesses and accountants
- Enable taxpayers to efficiently retrieve data from the NAV's system in order to prepare their returns
- Reduce the overall administrative burden of the system

10.3. Registration of the invoicing software[15]

As of January 2014, taxpayers have been obliged to report to NAV details about the software they use for issuing invoices, including complex Enterprise Resource Planning (ERP) systems that can issue invoices, or online invoicing systems.

What data shall be reported?

In respect of the used invoicing software, the taxpayer shall report the following information:

- **Hosted software**: name; identifier; name of developer and its tax number, if there is any; name and tax number of the one selling or making it available; the time of acquisition, start of usage or – in case of using self-developed software – the time of starting use for its intended purpose.
- **Cloud-based software**: name and address of the invoicing system; name and tax number of the online invoicing service provider; the time of starting to use the online invoicing service

When shall the reporting be done?

Reporting should be done on the relevant form called "*SZAMLAZO*" within 30 days after obtaining or starting to use the program whether the software was acquired from a supplier or was developed in-house. Discontinuing the use of an invoicing program or online invoicing service should also be reported to the tax authority within 30 days.

Changes from 4 January 2021

Under the new RTIR schema, the separate process for registration of the invoicing software is, however, no longer necessary, as information on such software must be sent to Online Számla with each RTIR report submission.

10.4. Requirements of the invoicing software

The invoicing program shall ensure the following:

- continuous numbering without omission or repeat;
- for issuing invoices under non-Hungarian tax number, a separate numbering range different from the one for Hungarian tax number;
- user documentation in Hungarian, English, German or French, including the following:
    - detailed description of the operation and use of the invoicing program and explanation of all the functions of the invoicing program

[15] As the definition "invoicing software" under the Hungarian regulations refers primarily to the software that generates VAT data as per requirements of the Hungarian VAT Act, primarily ERP, the services offered by Pagero do not fall under this definition. Pagero services in Hungary are limited to e-invoice exchange and do not involve invoice generation. See more under section 11.1.

- the invoicing program shall execute only those functions that are in the documentation. The program shall not have any such function that is not included in the documentation.

The taxpayer shall preserve the documentation until the right for determining tax is elapsed (even in an electronic form). The obligation of preserving shall be applied to all the extensions, modifications of the program, therefore the documentation is to be preserved for each version number.

10.4.1. Data export functionality

As of January 2016, the invoicing software systems must include a new function called "data export for tax authority review" (*hu. "adóhatósági ellenőrzési adatszolgáltatás"*) and must be able to extract invoicing data either for a certain invoice (number) range or for a certain period. The document generated for the data export must be in XML format, with a prescribed data content and in a pre-defined structure.

The requirement applies as well to foreign entities not established in Hungary, but having Hungarian VAT registration. Non-compliant or incorrect implementation of the data export requirement can trigger penalties.

Changes from 4 January 2021

Under the new RTIR schema, the taxpayer may use the files generated in NAV XML 3.0 to fulfil the data export requirement, instead of generating the report in the separate XML format.

10.5. Real-time invoice reporting (RTIR)

Item	Commentary
Document types	• Sales invoices, credit notes, debit notes, cancellation invoices
Mandatory infrastructure	• Online Szamla, for both live and test environment

RTIR software	• Besides being able to fulfill the technical requirements of NAV to connect to Online Számla, the provider of such RTIR software must be VAT registered in Hungary.
	• An Invoicing software means:
	  • A computer program.
	  • A program function.
	  • A program module.
	  • Including online invoice system.

Registration with NAV Online Szamla	• All taxpayers must register with the Online Számla platform, where they must create primary, secondary, and technical users. • All users must belong to the same VAT number.

	- From June 1, 2023, to increase security of electronic administration, secondary users can only enter the Online Account system with two-step identification. Details available here.
Mandatory format	• NAV XML, current version 3.0 live since 1 April 2021 • The reported transaction must at least include the data corresponding to the invoice requirements as stated per the Hungarian VAT Act. • Notably, all data must be submitted online item level. • Technical specifications are available here.
Timing of reporting	• All transactions must be reported automatically, electronically, and without human intervention. There is no specific timing for this, being immediately.
Granularity of the data	• NAV requires data online item level, not aggregated, as the case is in some other reporting models
Exchange rate	• As invoices in Hungary may be issued in other currency than HUF, RTIR requires that the taxpayer provides all amounts in both the foreign currency and HUF. • The applied exchange rate must as well be indicated. Note that the taxpayer, detached from the RTIR process, must inform NAV which exchange rate source it will use during their fiscal year, it is in principle not allowed the change the applied exchange rate source during the fiscal year.
Invoice Appearance	• When reporting data under RTIR, the supplier must indicate Invoice Appearance, i.e. how the underlying invoice has been sent to the buyer: Electronic, Paper, EDI, Other. This requires additional explanation of what is means with Electronic and EDI invoice: • **Electronic invoice** is an invoice which has been issued and received in any electronic format. The issuance and receiving of the electronic invoice may be performed as by the following methods: PDF attachment of the e-mail, server located e-invoice, electronic fax message, scanned document via e-mail. • **EDI** is a special type of e-invoice exchanged in a structured format and between closed systems of two companies system, which as well requires a written agreement between the parties.
Completeness Indicator	• Starting from 1 April 2021, a taxpayer may choose (i.e. this is not an obligation) to submit complete invoice to NAV, instead of the required invoice subset. • In such scenario, the taxpayer must state "true" in the filed Completeness Indicator, notifying NAV that a complete invoice has been submitted. Such approach would require the taxpayer to provide more data to NAV in both structured and unstructured fields. • The taxpayer may, however, not do so for B2C transactions, where the completeness indicator must be "false". The taxpayer may not provide certain data on individuals, in

	order to ensure the GDPR compliance. NAV rejects B2C transactions with Completeness Indicator set to “true”.
Impact on other reporting obligations	• RTIR replaces itemized reporting (recapitulative statement) for sales invoices • Itemized report will, however, continue to be filed on the purchase invoices
Contingency mode	• A technical problem – e.g. an internet failure or business interruption – may occur to both the tax authority and the taxpayer. Should a breakdown exceeding 48 hours occur at the company or at its service provider, the tax authority is required to be notified thereof upon the expiry of such 48 hours, at the latest. In such a case, 24 hours are available for recording the data content manually if the failure or the internet service deficiency continues. • If there is a problem at the tax authority due to a breakdown, then the tax authority shall publish an announcement on its website about the breakdown and after the elimination of such breakdown. And within 24 hours from the elimination of such breakdown, any failed data reporting must be supplied.
Corrections in relation to reporting	• According to Hungarian law, invoices with a negative amount means invoice correction (corrective invoices), therefore, it must refer to the original invoice/invoices and the invoice must be reported as invoice modification in the RTIR system. • The reporting depends on how many invoices are affected with modification. If a discount invoice with a negative amount modifies only one invoice, the case is the same as reporting a single invoice modification (credit note or debit note). • If the invoice modifies more than one invoice, it must be batch reporting. If an amending document is used to modify several earlier invoices, then and only then can the batch Invoice node be created in the data reporting XML. The batch Invoice node reiterates the invoice node used for describing the invoice data reporting data. The individual modifications should be assigned their batch Index values. It is irrelevant which batch Index values are assigned to which modifications are irrelevant for data reporting purposes. However, the value of batch Index needs to increase monotonically, starting from 1.

10.5.1. NAV validations and responses

NAV performs various validations of the submitted data in real-time. Upon validation, it may return the following types of responses:

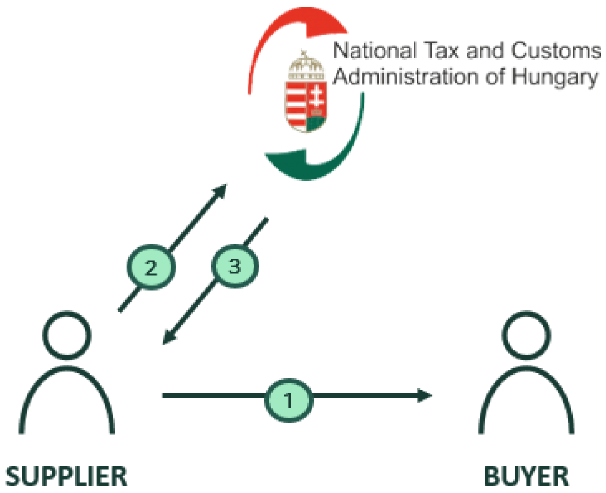
1) **Acceptance**:

   a. OK – the transaction has been accepted without any warning or error,
   b. Warning – the transaction has been accepted with one or several warnings,
2) **Rejection**:
   a. Error – the transaction has been rejected due to schema validation errors.

A transaction can only be considered as finally and correctly reported upon receipt of the invoice acceptance response. Such positive response must be archived by the taxpayer, as each transaction will be assigned a unique **NAV Transaction ID**.

If NAV has rejected a transaction, then it must be resubmitted to NAV once the reason for the rejection has been rectified.

10.5.2. RTIR process overview



(1) Supplier sends an invoice to the buyer;
(2) Supplier sends e-document subset to NAV in NAV XML via API immediately after invoice issuance
(3) Supplier receives Technical Acknowledgement (approved / rejected) from NAV in NAV XML

10.6. Penalties for non-compliance

If a taxpayer fails to comply with the obligation to report every invoice, a fine up to HUF 500,000 (approx. EUR 1,400) may be imposed for each invoice omitted from the reporting.

10.7. E-invoicing with NAV

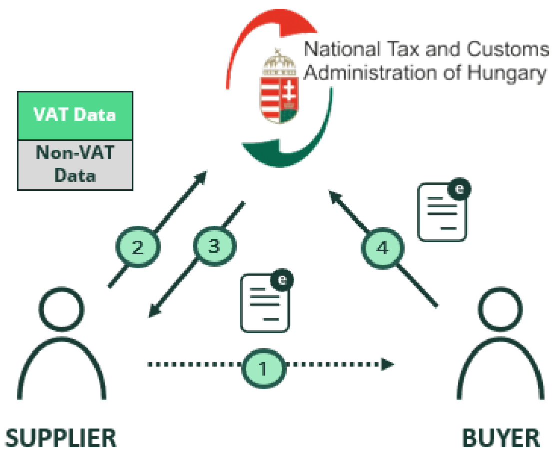
Starting with NAV XML version 3.0, the suppliers – on voluntary basis – are able to submit complete e-invoice to NAV, instead of only VAT subset of the invoice. Submission of a complete invoice, however, is not allowed for the scenario with B2C transactions. In order to mitigate certain aspects of the data protection regulations, NAV explicitly requests not to submit certain data on the buyers, who are consumers.

Correspondingly, NAV has enabled a set of new APIs, that allow the buyers to fetch such complete invoices from Online Számla, in order to automate the accounting processes.

Trading parties that wish so may agree to exchange their invoices via Online Számla. The Hungarian regulator will grant such invoices exchanged via Online Számla the same fiscal status as for the invoices exchanged directly among the trading parties.

By implementing such approach, the Hungarian RTIR model comes very close to the Centralised e-invoicing model that has been implemented in Italy, where all invoices are exchanged between the trading parties by the central governmental platform. However, without explicitly mandating e-invoicing.

At the same time, RTIR will also impact the practice of VAT return filing as NAV's goal is to include the preparation of VAT return starting 2024.



(1) Supplier sends Full invoice to the buyer;
(2) Supplier send VAT data and (optionally) non-VAT data [Full invoice] to NAV;
(3) Supplier receives Technical Acknowledgement (approved / rejected) from NAV;
(4) Buyer (optionally) fetches full invoice from NAV + NAV Clearance ID

10.8. SAF-T requirements

The SAF-T (Standard audit file for tax) requirements were originally scheduled to take effect on **January 1, 2021**.

Due to Covid-19, Hungary has been postponing the obligation to report SAF-T. It is expected to be mandatory soon, unofficial expected by the beginning of 2023.

There is not much information about who will be in scope of the presentation of SAF-T files. Not clear if it will be on demand, or a periodic requirement for every taxpayer in Hungary.

11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. General Processing

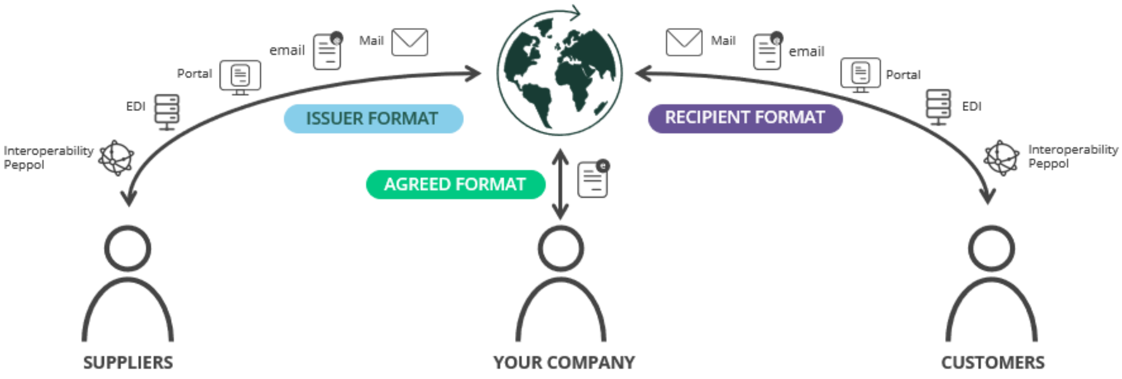
Pagero services do not fall within the definition of the "invoicing software" in the meaning of the Hungarian regulations. What Pagero offers customers is transactional compliance when eMessage, including e-Invoices, are being exchanged directly between the trading parties. Whereas, the requirements set out in Hungary are primarily of data generation character.

Therefore, in order to ensure conformity with the Hungarian regulations, Pagero has implemented the following deviations to its regular e-Invoice processing:

- The Supplier – irrespective of whether using Pagero Invoice Portal or any of Pagero's Communication Methods – should provide / upload and mark as Tax e-Invoice the file created by the Supplier's invoicing software. When the invoice data is entered manually in the Portal, such data must be exactly the same as on the document created by the invoicing software
    - According to the Hungary specific processing, the Supplier Business File (SBF) will always be considered by Pagero as the Tax e-Invoice
- Pagero will distribute to the Buyer (provided technical abilities by the recipient to receive multiple files) two files:
    - Supplier Business File (=Tax e-Invoice), and
    - Buyer Business File (BBF)
        - In the event that the Buyer or Buyer's service provider is not able to receive more than one file, Pagero will as default distribute BBF

For application of eSignature or eSignature Validation, Pagero Online uses the services of Trustweaver, who neither is invoicing software in the definition of the Hungarian VAT legislation.

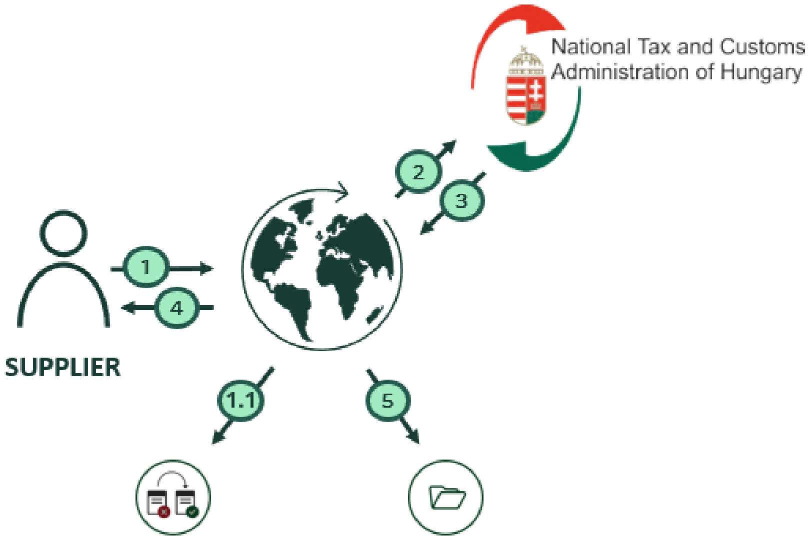
11.1.1. Document issuance (AR) and reception (AR) with Pagero



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
(2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements
(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

11.2. Real-time invoice reporting (RTIR)

Pagero utilises services of RSM Connectax in order to connect with NAV Online Szamla.



(1) Supplier provides invoice data in supplier preferred format to PAGERO;
(1.1) PAGERO performs data content validation, enrichment and conversion, document format conversion, etc.;
(2) PAGERO sends invoice subset to NAV in the most current NAV XML;
(3) PAGERO receives Technical Acknowledgement (approved / rejected) from NAV in the most recent NAV XML;

(4) PAGERO sends the Technical Acknowledgement from NAV to supplier in supplier format;
(5) PAGERO archives all relevant documents on behalf of the supplier.

12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
5 September 2018	Document created
1 December 2020	• Updated terminology section • Updated certain requirements around RTIR obligations Added future RTIR developments
18 December 2020	• Added RTIR related components to the Retention section • Removed references to KOBAK, as this platform has been discontinued • Clarification of certain aspects of sequential document numbering • Additional clarifications on the rectification process • Additional information on RTIR process: o Granularity of the data o Exchange rate o Invoice Appearance o Completeness Indicator o NAV validations
22 March 2021	• Added information on changes from 1 January 2021: o Information about invoicing software does not have to be preregistered with NAV Data export obligation can be fulfilled using NAV XML 3.0
24 November 2021	• Update Section 3 and Section 10.3
12 January 2022	• Removed the old link to Data Export XML specifications, as they are not valid anymore
19 January 2023	• General document Update
14 March 2023	• Section 5.9: Update in Real-Time Invoice Reporting concerning use of the field 'lineOperation'
08 June 2023	• Section 4: IT Registration • Section 10.3: Two-step identification secondary users
11 August 2023	• Section 10.1: Penlaties
11 September 2023	• Section 10.2 added for VAT returns